

The growth of an individual company is measured against the growth of the economy at large. Slow-growing companies, as you might have guessed, grow very slowly—more or less in line with the nation's GNP, which lately has averaged about three percent a year. Fast-growing companies grow very fast, sometimes as much as 20 to 30 percent a year or more. That's where you find the most explosive stocks.

Three of my six categories have to do with growth stocks. I separate the growth stocks into slow growers (sluggards), medium growers (stalwarts), and then the fast growers—the superstocks that deserve the most attention.

THE SLOW GROWERS

Usually these large and aging companies are expected to grow slightly faster than the gross national product. Slow growers didn't start out that way. They started out as fast growers and eventually pooped out, either because they had gone as far as they could, or else they got too tired to make the most of their chances. When an industry at large slows down (as they always seem to do), most of the companies within the industry lose momentum as well.

Electric utilities are today's most popular slow growers, but throughout the 1950s and into the 1960s the utilities were fast growers, expanding at over twice the rate of GNP. They were successful companies and great stocks. As people installed central air conditioning, bought big refrigerator/freezers, and generally ran up their electric bills, electricity consumption became a high-growth industry, and the major utilities, particularly in the Sunbelt, expanded at double-digit rates. In the 1970s, as the cost of power rose sharply, consumers learned to conserve electricity, and the utilities lost their momentum.

Sooner or later every popular fast-growing industry becomes a slow-growing industry, and numerous analysts and prognosticators are fooled. There's always a tendency to think that things will never change, but inevitably they do. Alcoa once had the same kind of go-go reputation that Apple Computer has today, because aluminum was a fast-growth industry. In the twenties the railroads were the great growth companies, and when Walter Chrysler left the railroads to run an automobile plant, he had to take a cut in pay. "This isn't the railroad, Mr. Chrysler," he was told.

Then cars became the fast-growth industry, and for a time it was steel, then chemicals, then electric utilities, then computers. Now even computers are slowing down, at least in the mainframe and minicomputer parts of the business. IBM and Digital may be the slow growers of tomorrow.

It's easy enough to spot a slow-grower in the books of stock charts that your broker can provide, or that you can find at the local library. The chart of a slow